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Case Number: 25NNCV08606 Hearing Date: July 30, 2026 Dept: E

Case No:

25NNCV08606

Hearing Date: 07/30/2026 – 8:30 a.m.

Trial

Date: UNSET

Case Name: TESLA INSURANCE SERVICES, INC., and TESLA INSURANCE COMPANY, v.
LEGENDARY AUTO BOUTIQUE INC., et al.

[TENTATIVE RULING DEMURRER]

RELIEF REQUESTED

Defendant, Lena Ghazaryan, demurs to Plaintiffs' FAC pursuant to
CCP §§ 430.10, et seq., and 430.50, et seq.

PROCEDURAL

Moving Party: Defendant,
Lena Ghazaryan

Responding Party: Plaintiffs, Tesla Insurance Services, Inc. and
Tesla Insurance Company (Plaintiffs)

Moving Papers: Notice/Demurrer; Declaration Alfred
Shaumyan

Opposition Papers: Opposition

Reply Papers: Reply

Proof of Service Timely Filed (CRC,
Rule 3.1300(c)): Ok

16/21 Court Days Lapsed (CCP, § 1005(b)): Ok

Proper Address (CCP, § 1013, § 1013a, § 1013b): Ok

Meet and Confer

A party filing a demurrer “shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (CCP, § 430.41(a).) “The parties shall meet and confer at least five days before the date the responsive pleading is due. If the parties are not able to meet and confer at least five days prior to the date the responsive pleading is due, the demurring party shall be granted an automatic 30-day extension of time within which to file a responsive pleading, by filing and serving, on or before the date on which a demurrer would be due, a declaration stating under penalty of perjury that a good faith attempt to meet and confer was made and explaining the reasons why the parties could not meet and confer.” (CCP, § 430.41(a)(2).)

Failure to sufficiently meet and confer is not grounds to overrule or sustain a demurrer. (CCP, § 430.41(a)(4).)

Here, Defendant’s counsel met and conferred, but the parties were unable to resolve the issues. (Shaumyan Decl., ¶ 2.)

BACKGROUND

Plaintiffs – (1) Tesla Insurance Services, Inc. and (2) Tesla Insurance Company – filed a complaint on 12/2/2025.

On 4/17/2026, this Court SUSTAINED with LEAVE TO AMEND, Defendant,

Lena Ghazaryan's, demurrer to the complaint.

On 5/15/2026, Plaintiffs filed the First Amended Complaint (FAC) against Defendants – (1) Legendary Auto Boutique Inc.; (2) Monrovia Auto Body, Inc.; (3) Syndicate Auto Craft; (4) Shaidolla Nagym; (5) Nshan Pambukyan; (6) Lena Ghazaryan; (7) Michael Pam; (8) Mikael Grigorian; (9) Martin Yeremyan; and (10) Does 1-10.

Plaintiffs' FAC alleges four causes of action for: (1) Unfair Business Practices (Bus. & Prof. Code § 17200 et seq.), (2) Fraud, (3) Civil Conspiracy, and (4) Unjust Enrichment.

On hearing for 7/30/2026 is Defendant, Lena Ghazaryan's, demurrer and motion to strike targeted at the FAC.

LEGAL STANDARDS FOR DEMURRERS

Demurrer – Sufficiency

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.)

In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

The general rule is that the plaintiff need only allege ultimate

facts, not evidentiary facts. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) "All that is required of a plaintiff, as a matter of pleading ... is that his complaint set forth the essential facts of the case with reasonable precision and with sufficient particularity to acquaint the defendant with the nature, source and extent of his cause of action." (Rannard v. Lockheed Aircraft Corp. (1945) 26 Cal.2d 149, 156-157.)

On demurrer, a trial court has an independent duty to "determine whether or not the ... complaint alleges facts sufficient to state a cause of action under any legal theory." (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 734.) Demurrers do not lie as to only parts of causes of action, where some valid claim is alleged but "must dispose of an entire cause of action to be sustained." (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.) "Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment." (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Demurrer – Uncertainty

A special demurrer for uncertainty, CCP section 430.10(f), is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (Khouri v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (Ibid.)

TENTATIVE RULING

Allegations Generally

Plaintiffs, an automobile insurer that issues insurance policies, alleges that their insureds and claimants brought their motor vehicles to Defendants' repair facility for the purpose of repair. (See FAC, ¶ 10.)

Plaintiffs allege that Defendants organized, coordinated, and committed a fraudulent scheme in which Defendants, in part, unnecessarily charged for repair work for damages that were not consistent with the facts of

loss, unnecessarily charged for repair work on parts of the vehicles that were not damaged at the time of loss, charged for services that were never authorized and provided no benefit to the customer, inflated parts and labor costs for a rate in excess of what is reasonable and customary, and made false misrepresentations by issuing false, fraudulent, and fabricated estimates that were not the result of the original claims reported to Plaintiffs. (See FAC, ¶¶ 6, 49, 55, & 56.)

Preliminary – Agency – Defendant, Lena Ghazaryan

Defendant, Lena Ghazaryan, demurs to the entire FAC, and to each cause of action within the FAC, on the basis that the FAC does not allege that Ms. Ghazaryan engaged in any of the alleged wrongful conduct.

Defendant, Ms. Ghazaryan, argues that Plaintiffs' attempt to hold her liable because she is married to a co-defendant, and because she incorporated Legendary, are insufficient to state a claim against her.

Defendant cites to authority that stands for the proposition that a married person is not liable for any injury or damage caused by the other spouse, and Defendant cites to authority that stands for the proposition that it is well-settled that incorporators are generally not liable for the wrongful acts committed by the corporation.

Defendant's arguments are unavailing for several reasons.

First, the allegations in the FAC do not allege that Plaintiffs are only attempting to hold Ms. Ghazaryan liable by means of her marriage to a co-defendant and by means of her allegedly incorporating Legendary.

Second, Ms. Ghazaryan's argument – that the FAC does not allege that Ms. Ghazaryan committed any of the alleged wrongful conduct in any of the causes of action – entirely ignores the pertinent allegations that all of the Defendants are alleged to be the agents of each other. (FAC, ¶¶ 28-29.)

The general rule of respondeat superior is as follows, "an employer is vicariously liable for the torts of its employees committed within the scope of the employment." (Lisa M. v. Henry Mayo Newhall Memorial Hospital (1995) 12 Cal.4th 291, 298.) Further, to this Court, it appears as

if respondeat superior is codified by statute. Under Civil Code §2338, "Unless required by or under the authority of law to employ that particular agent, a principal is responsible to third persons for the negligence of his agent in the transaction of the business of the agency, including wrongful acts committed by such agent in and as a part of the transaction of such business, and for his willful omission to fulfill the obligations of the principal." (Civil Code §2338.) Under Civil Code §2330, "An agent represents his principal for all purposes within the scope of his actual or ostensible authority, and all the rights and liabilities which would accrue to the agent from transactions within such limit, if they had been entered into on his own account, accrue to the principal." (Civil Code §2330.)

Further, the case of *Michelson*

v. Hamada helps explain the principal of agency:

Civil

Code section 2295 states: "An agent is one who represents another, called the principal, in dealings with third persons. Such representation is called agency." (3) Any person may be authorized to act as an agent, including an adverse party to a transaction. (See *Naify v. Pacific Indemnity Co.* (1938) 11 Cal.2d 5, 7 [76 P.2d 663, 115 A.L.R. 476]; *Orfanos v. California Insurance Co.* (1938) 29 Cal.App.2d 75, 78-81 [84 P.2d 233]; 2 Witkin, Summary of Cal. Law (9th ed. 1987) Agency and Employment, § 33, p. 47.) "Whether a person performing work for another is an agent ... depends primarily upon whether the one for whom the work is done has the legal right to control the activities of the alleged agent. [Citations.]" (*Malloy v. Fong* (1951) 37 Cal.2d 356, 370 [232 P.2d 241].) An agent is a fiduciary. (*Kennard v. Glick* (1960) 183 Cal.App.2d 246, 250-251 [agent entrusted with duty of receiving and disbursing moneys and keeping accurate records of the transactions]; *Estate of Arbuckle* (1950) 98 Cal.App.2d 562, 569-570 [220 P.2d 950, 23 A.L.R.2d 372] [business manager unable to produce will entrusted to him]; 2 Witkin, Summary of Cal. Law, supra, Agency and Employment, §§ 41, 43 et seq., pp. 53, 55.) Agency may be implied from the circumstances and conduct of the parties (see *Bergtholdt v. Porter Bros. Co.* (1896) 114 Cal. 681, 685-688 [46 P. 738]; *Brand v. Mantor* (1935) 6 Cal.App.2d 126, 130; *Pollack v. Lytle* (1981) 120 Cal.App.3d 931, 940; *Brea v. McGlashan* (1934) 3 Cal.App.2d 454, 464 [39 P.2d 877].) (4) When the principal in reliance on the agent does not have the service performed by others, the agent

is liable for failure to perform. (See Lab. Code, § 2851; Poile v. Stockton Merchants Assn. (1959) 176 Cal.App.2d 100, 104 [collection agency liable for amount of check it failed to collect and was under duty to inform principal of failure]; Rest.2d Agency, § 378; 2 Witkin, Summary of Cal. Law, supra, Agency and Employment, § 62, p. 68.) (5) A

contract between parties that includes the rendering of services does not preclude recovery for breach of a confidential relationship where property is misappropriated. (Agair Inc. v. Shaeffer (1965) 232 Cal.App.2d 513, 517 [42 Cal.Rptr. 883].)

(Michelson v. Hamada (1994) 29 Cal.App.4th 1556, 1579-80.)

As to alleging agency at the pleading stage, "An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer." (City of Industry v. City of Filmore (2011) 198 Cal.App.4th 191, 212-13.) "We have already noted, however, that an allegation of agency as such is a statement of ultimate fact. Consequently further allegations explaining how this fact of agency originated become unnecessary." (Skopp v. Weaver (1976) 16 Cal.3d 432, 439.)

In relevant part, for purposes of Ms. Ghazaryan's demurrer, Plaintiffs allege that Defendant, Legendary Auto Boutique, Inc. (Legendary), is an automotive repair dealer (FAC, ¶ 9.) engaged in the business of automotive repair and diagnosis for compensation. (FAC, ¶ 37.) Plaintiffs allege that Ms. Ghazaryan was Legendary's incorporator, and that she is married to Defendant, Pambukyan, who is an alleged principal of Legendary. (FAC, ¶¶ 20-21.) Plaintiffs allege that Ms. Ghazaryan filed Legendary's Articles of Incorporation, and that Defendant Pambukyan transferred ownership and agency of Legendary to himself to create the appearance that he had no connection to Legendary at the time of its formation to evade creditors. (FAC, ¶ 23.)

Most importantly, to the extent that Ms. Ghazaryan argues that Plaintiffs do not allege that she committed any of the wrongful conduct in any of the causes of action, nor made any of the alleged misrepresentations pertaining to the fraudulent repairs, Defendant fails to realize that Plaintiffs allege that each of the Defendants are agents of each other.

As alleged in the FAC:

28. Tesla

Insurance is informed and believes, and on that basis alleges that at all

relevant

times, each of the Defendants were the agents, servants, employees, representatives, principals, officers, directors, partners, joint venturers, alter egos, and/or co-conspirators of each of the remaining Defendants and in so committing the actions, practices, and conduct alleged in the complaint, each Defendant was acting within the course and scope of such agency, employment, alter ego, relationship, joint venture, and/or conspiracy, with the advance knowledge, acquiescence, or subsequent ratification, and permission and consent of each and every remaining Defendant.

29. Tesla Insurance is informed and

believes, and on that basis alleges that at all

relevant times, Defendants, and each of

them, were and are the representatives, actual or apparent agents, and/or employees of each other, and such Defendants, and each of them, during the acts herein mentioned, were and are acting within the course and scope of their authority as such representatives, actual or apparent agents and/or employees and were and are acting at the direction and with the consent of such co-defendants, and each of them.

(FAC, ¶¶ 28-29.)

As to alleging agency at the pleading stage, “An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer.” (City of Industry v. City of Filmore (2011) 198 Cal.App.4th 191, 212-13.) “We have already noted, however, that an allegation of agency as such is a statement of ultimate fact. Consequently further allegations explaining how this fact of agency originated become unnecessary.” (Skopp v. Weaver (1976) 16 Cal.3d 432, 439.)

Therefore, the Court does not find Defendant’s argument – that Plaintiffs do not allege that Defendant committed any wrongful conduct – to be availing.

Further, the Court notes that to the extent Defendant brings up the aforementioned argument for every cause of action in the FAC, the Court

will not further address it because it addressed it here.

First Cause of Action

Plaintiffs' first cause of action is for violation of Bus. & Prof. Code § 17200 et seq.

Defendant argues that Plaintiffs' first cause of action fails to state facts sufficient to constitute a cause of action because it fails to allege that Ms. Ghazaryan engaged in any unlawful, unfair, or fraudulent conduct.

Here, the Court does not find Defendant's argument availing.

Plaintiffs' FAC alleges in relevant part:

49. California Business & Professions Code § 17200 et seq. prohibits any unlawful,

unfair, and/or fraudulent business practice. California Business & Professions Code § 17200 et seq. prohibits an unlawful business act or practice. Defendants have violated California Business & Professions Code § 17200's prohibition against engaging in an unlawful act or practice by including: (1) charging for services that were never authorized and provided no benefit to the customer or Legendary in violation of the Automotive Repair Act, and (2) engaging in a pattern and practice of (a) unnecessarily charging for repair work on parts of the vehicles that were not damaged at the time of loss, (b) unnecessarily charging for repair work for damages that were not consistent with the facts of loss, (c) inflating parts and labor costs for a rate in excess of what is reasonable and customary, and (d) subletting work to other body shops without including a statement of sublet work with the estimate, in violation of California Code of Regulations 16 CCR 3353, et seq. and California Business and Professions Code § 9884.9, which is a subsection of California Business & Professions Code §17200 et seq. The aforementioned conduct by Defendants is immoral, unethical, unscrupulous, and substantially injurious to Tesla Insurance's insureds and Tesla Insurance.

50. By reason of Defendants' fraudulent, deceptive, unfair, and other wrongful conduct

as herein alleged, said Defendants have violated California Business & Professions Code §17200 et seq., by consummating an unlawful, unfair, and fraudulent business practice, designed to deprive Plaintiffs and others of their money.

(FAC, ¶¶ 49-50.)

The purpose of the UCL "is to protect both consumers and competitors by promoting fair competition in commercial markets for goods and services." (*Drum v. San Fernando Valley Bar Assn.* (2010) 182 Cal.App.4th 247, 252 citing *Kasky v. Nike, Inc.* (2002) 27 Cal.4th 939, 949.) Business and Professions Code section 17200 provides: "[a]s used in this chapter, unfair competition shall mean and include any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code." (*Progressive West Ins. Co. v. Superior Court* (2005) 135 Cal.App.4th 263, 284.) Because the UCL is written in the disjunctive, it establishes three varieties of unfair competition – acts or practices which are unlawful, or unfair, or fraudulent. (*Adhav v. Midway Rent a Car, Inc.* (2019) 37 Cal.App.5th 954, 970 citing *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180.)

There is authority that the test to determine whether a business practice is unfair differs depending on whether the plaintiff in a UCL case is a competitor of the defendant or a consumer. (*Drum v. San Fernando Valley Bar Assn.* (2010) 182 Cal.App.4th 247, 253.) In competitor cases, a business practice is "unfair" only if it "threatens an incipient violation of an antitrust law, or violates the policy or spirit of one of those laws because its effects are comparable to or the same as a violation of the law, or otherwise significantly threatens of harms competition." (*Id.* citing *Cel-Tech*, *supra*, 20 Cal.4th at 187.)

In consumer cases, the Supreme Court has not established a definitive test to determine whether a business practice is unfair. (*Drum v. San Fernando Valley Bar Assn.*, *supra*, 182 Cal.App.4th at 246 citing *Cel-Tech*, *supra*, 20

Cal.4th at 187, fn. 12.)

Several definitions of

“unfair” under the UCL have been formulated, and they are:

1. “An act or practice is unfair if the consumer injury is substantial, is not outweighed by any countervailing benefits to consumers or to competition, and is not an injury the consumers themselves could reasonably have avoided.” (Daugherty v. American Honda Motor Co., Inc. (2006) 144 Cal.App.4th 824, 839.)

2. “[A]n “unfair business practice occurs when that practice “offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.” [Citation.]” (Smith v. State Farm Mutual Automobile Ins. Co. (2001) 93 Cal.App.4th 700, 719.)

3. An unfair business practice means the “ ‘the public policy which is a predicate to the action must be “tethered” to specific constitutional, statutory or regulatory provisions.’” (Scripps Clinic v. Superior Court (2003) 108 Cal.App.4th 917, 940.)

(West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 806.)

“The balancing test required by the unfair business practice prong of section 17200 is fact intensive and is not conducive to resolution at the demurrer stage. ‘[U]nfairness’ is an equitable concept that cannot be mechanistically determined under the relatively rigid legal rules applicable to the sustaining or overruling of a demurrer.” (Progressive West Ins. Co. v. Superior Court (2005) 135 Cal.App.4th 263, 287 citing Schnall v. Hertz Corp. (2000) 78 Cal.App.4th 1144, 1167.)

Here, at the very least, Plaintiffs successfully allege a violation of the UCL under the unfairness prong; therefore, Plaintiffs state facts sufficient to constitute a cause of action for violation of the UCL.

Defendant also explains that the only remedies for violation of the UCL are injunctive relief or restitution. Defendant then argues that Plaintiffs do not plead any facts establishing that

Plaintiffs are entitled to either injunctive relief or restitution because
Plaintiffs do not allege that Ms. Ghazaryan obtained anything from Plaintiffs.

Defendant's argument is unavailing.

With respect to restitution:

The "notion of restoring something to a victim of unfair competition includes two separate components. The offending party must have obtained something to which it was not entitled and the victim must have given up something which he or she was entitled to keep." (Day v. AT & T Corp. (1998) 63 Cal.App.4th 325, 340, 74 Cal.Rptr.2d 55.) Restitution thus is available where "a defendant has wrongfully acquired funds or property in which a plaintiff has an ownership or vested interest."

(Feitelberg v. Credit Suisse First
Boston, LLC (2005) 134 Cal.App.4th 997, 1012 citing Alch v. Superior
Court (2004) 122 Cal.App.4th 339, 404.)

In relevant part of the FAC, Plaintiffs
allege:

These specific practices of the current fraudulent scheme by
Defendants are calculated to lead to higher insurance payments to them in
settlement of property damage claims by Tesla Insurance. Tesla Insurance has
incurred substantial harm as a result of these payments, which are a direct
result of these false, fraudulent and inflated property damage claims and
extortive practices. Tesla Insurance believes that Defendants' actions have fraudulently
induced Tesla Insurance to pay repair costs that Legendary was not lawfully
entitled to obtain.

(FAC, ¶ 7.)

At the very least, Plaintiffs plead
facts establishing that Plaintiffs could be entitled to restitution because
Plaintiffs plead that that Tesla paid fraudulent repair costs, something it was
entitled to keep, and Legendary received these payments, something which it was
not entitled to keep. (See FAC, ¶ 7.) Further, as previously explained, the
Court notes that Legendary and Ms. Ghazaryan are alleged to be agents/employees/partners/principals

of each other. (See FAC, ¶ 28.)

Tentative Ruling – First Cause of Action

Defendant's demurrer to the first cause of action, for violation of Business & Prof. Code § 17200 et seq., is OVERRULED.

Second Cause of Action

Plaintiffs' second cause of action alleged against Defendant is fraud.

Defendant argues that Plaintiffs fail to state facts sufficient to constitute a cause of action for fraud because Plaintiffs do not allege the Defendant made any representations to Tesla, and that the specificity requirements of fraud are not alleged, such as when the representations were made, to whom, and how.

“

‘The elements of fraud, which gives rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or “scienter”); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.’ “ (Small v. Fritz Companies, Inc. (2003) 30Cal.4th 167, 173 citing Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.)

Fraud

must be pleaded with specificity rather than with “general and conclusory allegations.” (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

The

Court does not find Defendant's arguments availing.

Plaintiffs

allege facts sufficient to state a cause of action for fraud.

Plaintiffs

allege that Defendants made false misrepresentations by issuing false, fraudulent, and fabricated estimates for repairs. (FAC, ¶ 55.) Further, Plaintiffs allege the false and fraudulent estimates were submitted to Plaintiffs during the claims investigations for the fourteen claims identified in Exhibit A of the FAC. (FAC, ¶ 57.) Plaintiffs allege that they occurred between September 2024 and the present. (FAC, ¶ 10.) Further based on Exhibit A, it appears that these false estimates/claims were submitted via paper/writing, as seen in Exhibit A to the FAC, which attaches the preliminary estimates in writing. (FAC, ¶ 57.)

Although

it is not entirely clear the names of the persons who made the false representations, their authority to speak on behalf the corporations, and to whom the false representations were submitted to, the Court does not find this to be problematic in the instant scenario.

As

explained in Committee On Children's Television, Inc.:

We observe, however, certain exceptions which mitigate the rigor of the rule requiring specific pleading of fraud. Less specificity is required when "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy," (Bradley v. Hartford Acc. & Indem. Co. (1973) 30 Cal.App.3d 818, 825, 106 Cal.Rptr. 718); "[e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party" (Turner v. Milstein (1951) 103 Cal.App.2d 651, 658, 230 P.2d 25.)

(Committee

On Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 217.)

With
respect to knowledge of falsity, Plaintiffs allege that element in ¶ 57 of the
FAC.

With
respect to intent to defraud, Plaintiffs allege that element in ¶ 60 of the
FAC.

With
respect to justifiable reliance, Plaintiffs allege that element in ¶ 58 of the
FAC.

With
respect to damages, Plaintiffs allege that element in ¶ 60 of the FAC.

Tentative
Ruling – Second Cause of Action

Defendant's
demurrer to the second cause of action for fraud is OVERRULED.

Third Cause of Action

Plaintiff's third cause of action is
for civil conspiracy.

Defendant's argument on civil
conspiracy appears to be somewhat of a contradiction.

Since the original complaint did not
contain a claim for civil conspiracy, Defendant argues that when the Court
granted leave to amend with the prior demurrer, Plaintiffs were not allowed to
amend the complaint to add a new cause of action without having obtained
permission to do so.

Therefore, Defendant argues Plaintiffs
cannot add a claim for civil conspiracy because Plaintiffs did not obtain
permission to do so.

What is contradictory with Defendant's argument is that Defendant simultaneously argues that civil conspiracy is not a standalone cause of action, but rather a theory of liability, thus Plaintiffs' claim for civil conspiracy fails.

This is contradictory because why does Defendant have a problem with Plaintiffs adding a cause of action for civil conspiracy if Defendant is also arguing that civil conspiracy isn't a cause of action to begin with?

As stated in *City of Industry*:

Civil conspiracy is not an independent tort. Instead, it is "a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or *212 design in its perpetration. [Citation.] By participation in a civil conspiracy, a coconspirator effectively adopts as his or her own the torts of other coconspirators within the ambit of the conspiracy. [Citation.] In this way, a coconspirator incurs tort liability co-equal with the immediate tortfeasors." (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 510–511, 28 Cal.Rptr.2d 475, 869 P.2d 454.) The elements of a civil conspiracy are (1) the formation of a group of two or more persons who agreed to a common plan or design to commit a tortious act; (2) a wrongful act committed pursuant to the agreement; and (3) resulting damages. (*Ibid.*) We construe the fifth count for fraud and the tenth count for conspiracy together as a single count for fraud.

(*City of Industry v. City of Filmore* (2011) 198 Cal.App.4th 191, 211-212.)

Here, the Court does not construe the "third cause of action" for civil conspiracy as an independent cause of action, but instead construes it as a theory of liability. Thus, the Court construes the second cause of action for fraud and the third cause of action for conspiracy as a single count for fraud.

On demurrer, a trial court has an independent duty to "determine whether or not

the ... complaint alleges facts sufficient to state a cause of action under any legal theory." (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 734.)

"It has long been established that in ruling on a demurrer, the trial court is obligated to look past the form of a pleading to its substance. Erroneous or confusing labels attached by the inept pleader are to be ignored if the complaint pleads facts which would entitle the plaintiff to relief." (Saunders v. Cariss (1990) 224 Cal.App.3d 905, 908.)

Here, based on the civil conspiracy allegations in ¶¶ 61-66, the fraud allegations in ¶¶ 54-60, and the general allegations in ¶¶ 6 - 46, Plaintiffs thus state facts sufficient to find a basis for civil conspiracy.

Tentative Ruling – Third Cause of Action

Defendant's demurrer to the third cause of action is OVERRULED. The Court construes the second cause of action for fraud and the third cause of action for conspiracy as a single count for fraud. Plaintiffs state facts sufficient for the theory of liability of civil conspiracy.

Fourth Cause of Action

Plaintiffs' fourth cause of action is for unjust enrichment.

Defendant cites authority that explains that unjust enrichment is not a valid cause of action in California and that it is instead a remedy.

Defendant also argues that Plaintiffs failed to state facts sufficient to constitute a cause of action for unjust enrichment.

Here, the Court notes that there is a split of authority as to whether or not unjust enrichment is a valid cause of

action. Some cases state it is not a cause of action, and some cases state that it is a cause of action.

When appellate decisions are in conflict on a point, the court exercising inferior jurisdiction must choose between the conflicting decisions. (*Auto Equity Sales, Inc. v. Superior Court of Santa Clara County* (1962) 57 Cal.2d 450, 456.)

Here, in light of the instant case being at the pleading stage, this Court adopts *Peterson*, which recognizes unjust enrichment as a cause of action.

“The elements of an unjust enrichment claim are the receipt of a benefit and the unjust retention of the benefit at the expense of another. (*Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593.)

Here, Plaintiffs state facts sufficient to constitute a cause of action for unjust enrichment in ¶¶ 67-71 of the FAC.

Tentative Ruling – Fourth Cause of Action

Defendant’s demurrer to the fourth cause of action for unjust enrichment is OVERRULED.

[TENTATIVE RULING MOTION TO STRIKE]

LEGAL
STANDARD – MOTION TO STRIKE

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (CCP, § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (CCP, § 436(b).)

A motion to strike cannot be based upon the grounds that a complaint fails to state

facts sufficient to constitute a cause of action, but instead is properly based on grounds of superfluous or abusive allegations, or improprieties in form or procedure. (Ferraro v. Camarlinghi (2008) 161 Cal.App.4th 509, 528-29.)

The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (CCP, § 437; Turman v. Turning Point of Central California, Inc. (2010) 191 Cal.App.4th 53, 63 [“judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth”].)

Further, CCP § 431.10(a)-(c) states as follows:

(a) A material allegation in a pleading is one essential to the claim or defense and which could not be stricken from the pleading without leaving it insufficient as to that claim or defense.

(b) An immaterial allegation in a pleading is any of the following:

(1) An allegation that is not essential to the statement of a claim or defense.

(2) An allegation that is neither pertinent to nor supported by an otherwise sufficient claim or defense.

(3) A demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.

(c) An “immaterial allegation” means “irrelevant matter” as that term is used in Section 436.

(CCP, § 431.10(a)-(c).)

TENTATIVE RULING MOTION TO STRIKE

Defendant moves to strike ¶¶ 22-25, 60, and two punitive damages requests in the Prayer for Relief.

In

an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example by way of punishing the defendant. (Civil Code, § 3294(a).)

“‘Malice’

means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civil Code, § 3294(c)(1).)

“‘Oppression’

means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. (Civil Code, § 3294(c)(2).)

“‘Fraud’

means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury. (Civil Code, § 3294(c)(3).)

Further, Civil Code § 3294(b)

states:

An employer shall not be

liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.

(Civil

Code, § 3294(b).)

Generally

speaking, paragraphs 22-25 in Plaintiffs' FAC pertains to conspiracy allegations with respect to Defendant, Ms. Ghazaryan.

Defendant's

motion to strike ¶¶ 22-25 is DENIED. Those paragraphs provide background allegations about the parties involved in this action and their relationship to each other.

Defendant's

motion to strike ¶ 60, which pertains to fraud/punitive damages allegations in the second cause of action for fraud, is DENIED. Plaintiffs successfully allege a cause of action for fraud, and Plaintiffs successfully allege a basis to potentially recover for punitive damages.

Defendant's

motion to strike ¶ 2, a request for punitive damages located within the prayer for relief for the second cause of action for fraud, is DENIED. Plaintiffs successfully allege a cause of action for fraud, and Plaintiffs successfully allege a basis to potentially recover for punitive damages.

Defendant's

motion to strike ¶ 2, a request for punitive damages located within the prayer for relief for the third cause of action for civil conspiracy, is GRANTED because the Court previously explained how it construed the fraud cause of action and the civil conspiracy cause of action as a singular cause of action for fraud. Therefore, the two requests for punitive damages, for a single cause of action, would be redundant.